
Cambridge International AS Level

BUSINESS 9609

Knowledge Check – SET B

Short recall questions for knowledge (AO1) marks

MARK SCHEME & ANSWERS

For examination in October / November 2026

10 knowledge papers · 20 questions per paper · 200 questions

How to use Set B

- Set B is a pure knowledge-recall companion to the Set A exam papers. Every question uses knowledge command words – Define, State, Identify, Outline and Distinguish – so you can check you know the key terms, facts and definitions for the whole AS syllabus.
- The 10 papers cover the syllabus section by section (1.1 through 5.5). A multi-part question, e.g. (a), (b), (c), counts as ONE question. Marks for each part are shown in brackets, e.g. [2].
- Answer every question quickly from memory, then check the companion MARK SCHEME. Anything you cannot answer instantly is a topic to revise.
- Target: aim to score at least 90%. Re-test any paper where you drop knowledge marks until recall is automatic.

KNOWLEDGE PAPER B1 – MARK SCHEME

Enterprise (Syllabus 1.1)

Knowledge-recall answers

Q1

- (a) Define 'business activity'. [2]
- Using resources/factors of production (1) to produce goods and services to satisfy customers' needs and wants (1).
- (b) State the main purpose of business activity. [2]
- To combine inputs to produce output that satisfies needs/wants (1) and adds value / earns a profit or return (1).
- (c) Define 'consumer goods'. [1]
- Goods bought by households for personal use/final consumption (1).

Q2

- (a) Define a 'need'. [1]
- Something essential for survival, e.g. food, water, shelter (1).
- (b) Define a 'want'. [1]
- Something desired but not essential (1).
- (c) Distinguish between goods and services. [2]
- Goods are tangible/physical products (1); services are intangible actions/benefits (1).

Q3

- (a) State the four factors of production. [2]
- Land, labour, capital and enterprise (all four = 2; two/three = 1).
- (b) Define 'land' as a factor of production. [1]
- All natural resources used in production (1).
- (c) Define 'capital' as a factor of production. [1]
- Man-made resources/equipment used to produce goods and services (1).

Q4

- (a) Define 'labour' as a factor of production. [1]
- The human/physical and mental effort used in production (1).
- (b) Define 'enterprise' as a factor of production. [2]
- The willingness/ability to organise the other factors (1) and take the risk of production for profit (1).
- (c) State the reward earned by each factor of production. [2]
- Land = rent; labour = wages; capital = interest; enterprise = profit (all four = 2).

Q5

- (a) Define 'adding value'. [2]
- The difference between the price a customer pays (1) and the cost of bought-in inputs/materials (1).
- (b) State the formula for added value. [1]
- Added value = selling price - cost of bought-in materials/inputs (1).
- (c) Identify two ways a business can add value. [2]
- Any two: branding, better design/features, USP, convenience, quality, customer service, packaging (1 each).

Q6

- (a) Define 'scarcity'. [2]
- Resources are finite/limited (1) but wants are unlimited (1).
- (b) Define 'opportunity cost'. [2]
- The next best alternative foregone (1) when a choice is made/resources allocated (1).
- (c) State why choice is necessary for a business. [1]
- Because resources are scarce, so not all wants/uses can be satisfied at once (1).

Q7

- (a) Define 'economic activity'. [2]
- The use of scarce resources to produce goods/services (1) to satisfy needs and wants (1).
- (b) Explain 'the problem of choice'. [2]
- Because resources are scarce (1), choosing one use means giving up another (opportunity cost) (1).
- (c) Give one example of opportunity cost for a business. [1]
- e.g. spending on a new van means not spending on marketing (1).

Q8

- (a) Define the 'dynamic business environment'. [2]
- The business environment is constantly changing (1) – in technology, competition, tastes, laws and the economy (1).
- (b) State two factors that make the business environment dynamic. [2]
- Any two: technology, competition, consumer tastes, legislation, economic conditions, globalisation (1 each).
- (c) Identify one opportunity that change can create. [1]
- Any: new products/markets, e-commerce, first-mover advantage (1).

Q9

- (a) State two reasons why businesses succeed. [2]
- Any two: good management, meeting customer needs, sound finance/cash flow, USP, innovation, motivated staff (1 each).
- (b) State two reasons why businesses fail. [2]
- Any two: poor cash flow/liquidity, poor management, lack of demand/market research, over-expansion, strong competition, external shocks (1 each).
- (c) Identify the most common cause of failure for new firms. [1]
- Poor cash flow / running out of cash (1).

Q10

- (a) Distinguish between a local and a national business. [2]
- Local: operates in a small/single area (1); national: operates across the whole country (1).
- (b) Define an 'international business'. [1]
- A business that trades (exports/imports) in more than one country (1).
- (c) Define a 'multinational business'. [2]
- A business with production/operating facilities (1) in more than one country (1).

Q11

- (a) Define 'entrepreneur'. [2]
- A person who sets up a business (1), organising the factors of production and taking the risk for profit (1).

(b) State three qualities of a successful entrepreneur.

[3]

- Any three: risk-taking, innovation/creativity, determination, self-confidence, leadership, multi-tasking, hard work (1 each).

Q12

(a) Define 'intrapreneur'.

[2]

- An employee within a business (1) who behaves entrepreneurially – innovating using company resources (1).

(b) State two qualities an intrapreneur needs.

[2]

- Any two: creativity, initiative, willingness to take (calculated) risk, drive, problem-solving (1 each).

(c) Distinguish between an entrepreneur and an intrapreneur.

[2]

- Entrepreneur bears personal financial risk starting their own business (1); intrapreneur innovates inside an existing firm without personal financial risk (1).

Q13

(a) Define 'entrepreneurship'.

[2]

- The activity of setting up and running a business (1), taking on financial risk in the hope of profit (1).

(b) State two roles of entrepreneurship in starting up a business.

[2]

- Any two: spotting an opportunity, raising finance, organising resources, bearing risk, making key decisions (1 each).

Q14

(a) Define 'intrapreneurship'.

[2]

- Employees acting entrepreneurially within a business (1) to develop new products/processes using company resources (1).

(b) State two ways intrapreneurship helps an established business.

[2]

- Any two: new products/innovation, keeps firm competitive, motivates staff, avoids complacency (1 each).

Q15

(a) State three barriers to entrepreneurship.

[3]

- Any three: lack of finance, lack of skills/experience, competition, fear of failure, red tape/regulation, no viable idea, limited market access (1 each).

(b) Identify one source of help available to entrepreneurs.

[1]

- Any: government grants, bank loans, business advisers/incubators, mentors, microfinance (1).

Q16

(a) Distinguish between risk and uncertainty.

[2]

- Risk: outcome is identifiable and probability can be estimated/insured (1); uncertainty: unpredictable events that cannot be foreseen/measured (1).

(b) Give one example of a business risk.

[1]

- Any: a new product not selling, machine breakdown, bad debts (1).

(c) Give one example of uncertainty.

[1]

- Any: a pandemic, sudden change in law, natural disaster, war (1).

Q17

(a) State three ways business enterprise contributes to a country's development.

[3]

- Any three: creates jobs, raises incomes/GDP, increases tax revenue, drives innovation, reduces imports, develops skills (1 each).

(b) Identify one negative effect enterprise can have on a country.

[1]

- Any: pollution/negative externalities, inequality, exploitation, tax avoidance (1).
-

Q18

(a) Define 'business plan'.

[2]

- A written document (1) setting out a business idea, objectives and how they will be achieved (1).

(b) State the main purpose of a business plan.

[2]

- To plan the venture and reduce risk (1) and to help raise finance from lenders/investors (1).
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Q19

State four key elements typically found in a business plan.

[4]

- Any four: executive summary, business idea/objectives, market research, marketing plan, operations plan, management/personnel, financial forecasts (cash flow/costs), sources of finance (1 each).
-

Q20

(a) State two benefits of writing a business plan.

[2]

- Any two: helps secure finance, clarifies objectives, identifies risks, acts as a benchmark/control (1 each).

(b) State two limitations of a business plan.

[2]

- Any two: forecasts are only estimates/may be inaccurate, time-consuming, quickly out of date, no guarantee of success (1 each).
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KNOWLEDGE PAPER B2 – MARK SCHEME**Business structure & size (Syllabus 1.2 & 1.3)****Knowledge-recall answers****Q1**

(a) Define the 'primary sector'. [1]

- Extraction of natural resources, e.g. farming, mining, fishing (1).

(b) Define the 'secondary sector'. [1]

- Manufacturing/processing of raw materials into goods (1).

(c) Define the 'tertiary sector'. [1]

- Provision of services, e.g. retail, banking, transport (1).

(d) Define the 'quaternary sector'. [1]

- Knowledge/information-based services, e.g. R&D, ICT, consultancy (1).

Q2

(a) Distinguish between the private and public sectors. [2]

- Private: owned by individuals/shareholders, usually profit-motivated (1); public: owned by government, providing public services (1).

(b) Define 'privatisation'. [1]

- Transfer of a business from the public to the private sector (1).

(c) State one reason the tertiary sector grows as economies develop. [1]

- Rising incomes raise demand for services / de-industrialisation (1).

Q3

(a) Define 'sole trader'. [2]

- A business owned and controlled by one person (1) with unlimited liability (1).

(b) State two advantages of being a sole trader. [2]

- Any two: easy/cheap to set up, full control, keep all profit, privacy (1 each).

Q4

(a) Define 'partnership'. [2]

- A business owned by two or more people (1) who share responsibility, profits and (usually) unlimited liability (1).

(b) State one advantage and one disadvantage of a partnership. [2]

- Advantage: more capital/shared workload/skills (1); disadvantage: shared/unlimited liability, disputes, profit shared (1).

Q5

(a) Define 'unlimited liability'. [2]

- Owners are personally responsible for all business debts (1); personal assets are at risk (1).

(b) Define 'limited liability'. [2]

- Owners' losses are limited to the amount invested (1); personal assets are protected (1).

Q6

(a) Define 'private limited company (Ltd)'. [2]

- A company with limited liability (1) whose shares are not sold to the public/traded on a stock exchange (1).

(b) State two features of a private limited company. [2]

- Any two: separate legal identity, limited liability, shares transferred privately, must file accounts (1 each).

Q7

(a) Define 'public limited company (plc)'. [2]

- A company with limited liability (1) whose shares can be sold to the public/traded on a stock exchange (1).

(b) State one advantage and one disadvantage of being a plc. [2]

- Advantage: raise large capital, status (1); disadvantage: loss of control/takeover risk, regulation/disclosure (1).

Q8

(a) Define 'franchise'. [2]

- An arrangement where a franchisee buys the right (1) to use an established business's name and format for a fee/royalty (1).

(b) State the person who buys a franchise and the person who sells it. [2]

- Buyer = franchisee (1); seller/owner of the brand = franchisor (1).

Q9

(a) Define 'co-operative'. [2]

- A business owned and run by its members (1) who share the profits/benefits and decision-making (1).

(b) Define 'joint venture'. [2]

- Two or more businesses (1) combining resources for a specific project while remaining separate (1).

Q10

(a) Define 'social enterprise'. [2]

- A business that trades to achieve social/environmental aims (1) as well as financial ones, reinvesting surpluses (1).

(b) State the three objectives of the triple bottom line. [3]

- Economic/financial (profit), social (people) and environmental (planet) (1 each).

Q11

State four methods of measuring the size of a business. [4]

- Any four: number of employees, revenue/turnover, capital employed, market share, market capitalisation, value of output (1 each).

Q12

(a) State two advantages of being a small business. [2]

- Any two: flexible, personal service, close customer relationships, niche focus, quick decisions (1 each).

(b) State two disadvantages of being a small business. [2]

- Any two: limited finance, few economies of scale, higher costs, vulnerable to competition, key-person risk (1 each).

Q13

(a) State two strengths of a family business. [2]

- Any two: commitment/loyalty, long-term view, trust/shared values, quick decisions (1 each).

(b) State two weaknesses of a family business. [2]

- Any two: succession conflict, roles by ties not merit, difficulty raising capital, emotional decisions (1 each).

Q14

(a) Define 'organic (internal) growth'. [2]

- Expansion using a business's own resources (1), e.g. more outlets/new products, rather than by merger/takeover (1).

(b) Define 'external growth'. [1]

- Growth through merger with or takeover of another business (1).

Q15

(a) Distinguish between a merger and a takeover. [2]

- Merger: two firms agree to combine into one (1); takeover: one firm acquires control of another (1).

(b) Distinguish between a friendly merger and a hostile takeover. [2]

- Friendly: agreed by both boards (1); hostile: target's board opposes the acquisition (1).

Q16

(a) Define 'horizontal integration'. [2]

- Merger/takeover of a firm at the same stage of the same industry (1), e.g. two supermarkets (1).

(b) Define 'conglomerate (diversifying) integration'. [2]

- Merger/takeover of a firm in an unrelated industry (1) to spread risk/diversify (1).

Q17

(a) Define 'backward vertical integration'. [2]

- Merger/takeover of a supplier (1) – a firm at an earlier stage of the supply chain (1).

(b) Define 'forward vertical integration'. [2]

- Merger/takeover of a customer/distributor (1) – a firm at a later stage of the supply chain (1).

Q18

(a) State two possible benefits of a merger or takeover. [2]

- Any two: economies of scale, larger market share, synergy, faster growth, reduced competition (1 each).

(b) State one reason a takeover may fail to achieve its objectives. [1]

- Any: culture clash, overpayment, integration problems, diseconomies, loss of key staff (1).

Q19

(a) Define 'strategic alliance'. [2]

- An agreement between businesses to cooperate/share resources (1) for mutual benefit while staying independent (1).

(b) State one difference between a joint venture and a strategic alliance. [2]

- A joint venture usually creates a separate shared entity (1); an alliance is looser cooperation without a new company (1).

Q20

(a) State one advantage and one disadvantage of changing from a partnership to a private limited company. [2]

- Advantage: limited liability/easier to raise capital (1); disadvantage: more admin/must publish accounts, less privacy (1).

(b) State the role of small businesses in the industrial structure of some industries. [2]

- Act as suppliers/subcontractors to large firms (1) and serve niche markets large firms ignore (1).

KNOWLEDGE PAPER B3 – MARK SCHEME

Business objectives & stakeholders (Syllabus 1.4 & 1.5)

Knowledge-recall answers

Q1

(a) Define 'business objective'. [2]

- A specific, measurable goal (1) that a business aims to achieve within a time period (1).

(b) State two common objectives of a private-sector business. [2]

- Any two: survival, profit maximisation, growth, market share, shareholder value (1 each).

Q2

(a) State two objectives of a public-sector organisation. [2]

- Any two: provide a public service, meet social needs, stay within budget, serve all citizens (1 each).

(b) State one objective specific to a social enterprise. [1]

- A social/environmental aim, e.g. reducing poverty or emissions (1).

(c) State why objectives are important to a business. [1]

- Give direction, aid decision-making, motivate and allow performance to be measured (1).

Q3

(a) Define 'corporate social responsibility (CSR)'. [2]

- A business acting ethically (1) and considering its impact on society and the environment beyond profit/law (1).

(b) State two examples of CSR in practice. [2]

- Any two: fair wages, ethical sourcing, reducing pollution, community projects, recycling (1 each).

Q4

(a) Define 'mission statement'. [2]

- A short statement of a business's core purpose/reason for existing (1) that guides its direction and values (1).

(b) Define 'aims'. [1]

- Broad, long-term goals of the business (1).

Q5

(a) Define 'strategy'. [2]

- A long-term plan (1) to achieve the business's objectives (1).

(b) Define 'tactics'. [2]

- Short-term actions/decisions (1) used to implement the strategy (1).

Q6

Place these in order from broadest to most specific: objectives, mission, tactics, aims, strategy. [4]

- Mission -> aims -> objectives -> strategy -> tactics (4 marks for full correct order; 2 for mostly correct).

Q7

(a) State what each letter of 'SMART' objectives stands for. [3]

- Specific, Measurable, Achievable, Realistic, Time-limited (all five = 3; 3–4 = 2; 1–2 = 1).

(b) State one benefit of setting SMART objectives. [1]

- Any: clear focus, measurable progress, motivation, easier control (1).

Q8

State the stages of business decision-making, in order.

[4]

- Set objectives -> gather data/information -> analyse options -> make/choose decision -> implement -> review/evaluate (4 for logical full sequence).

Q9

(a) Define 'business ethics'.

[2]

- Moral principles/values (1) that guide how a business behaves and makes decisions (1).

(b) State one way ethics might influence a business objective.

[2]

- e.g. an objective to use only fair-trade suppliers or cut emissions (1), possibly sacrificing some profit (1).

Q10

(a) State two reasons a business's objectives might change over time.

[2]

- Any two: change in size/stage, economic conditions, new ownership, competition, CSR pressure (1 each).

(b) State how objectives are translated into departmental action.

[2]

- Through targets and budgets (1) set for departments/individuals (1).

Q11

(a) Define 'stakeholder'.

[2]

- Any individual or group (1) with an interest in, or affected by, the activities of a business (1).

(b) Distinguish between internal and external stakeholders.

[2]

- Internal: within the business (owners, managers, employees) (1); external: outside it (customers, suppliers, government, community) (1).

Q12

Identify whether each is internal or external: (i) employees, (ii) suppliers, (iii) shareholders, (iv) local community.

[4]

- (i) internal; (ii) external; (iii) internal; (iv) external (1 each).

Q13

(a) State two internal stakeholders of a business.

[2]

- Any two: owners/shareholders, managers, employees (1 each).

(b) State two external stakeholders of a business.

[2]

- Any two: customers, suppliers, government, local community, lenders, pressure groups (1 each).

Q14

(a) State one aim of shareholders as stakeholders.

[1]

- High profit/dividends and rising share value (1).

(b) State one aim of employees as stakeholders.

[1]

- Fair pay, job security, good conditions (1).

(c) State one aim of customers as stakeholders.

[1]

- Good quality, fair prices, good service (1).

(d) State one aim of the local community as a stakeholder.

[1]

- Jobs, low pollution/nuisance, community support (1).

Q15

(a) State two rights of employees as stakeholders.

[2]

- Any two: fair pay, safe conditions, a contract, non-discrimination, consultation (1 each).

(b) State one responsibility of employees. [1]

- Any: work diligently, follow rules, act honestly/safely (1).

Q16

(a) Define 'stakeholder conflict'. [2]

- When the aims of different stakeholder groups clash (1) so satisfying one harms another (1).

(b) Give one example of stakeholder conflict. [2]

- e.g. shareholders want higher profit via cost-cutting, but employees want higher pay/security (2).

Q17

(a) State what is meant by a business being 'accountable' to stakeholders. [2]

- Being answerable/responsible to stakeholders (1) for the effects of its decisions/actions (1).

(b) State one reason a business needs to be accountable to stakeholders. [1]

- Any: builds trust, meets legal/ethical duty, protects reputation, reduces conflict (1).

Q18

(a) Define 'profit maximisation'. [2]

- Aiming to make the greatest possible profit (1) – the largest gap between total revenue and total cost (1).

(b) State why a start-up may focus on survival rather than profit. [2]

- Early cash flow is fragile and demand uncertain (1), so staying solvent matters most first (1).

Q19

(a) State two ways communicating objectives can affect the workforce. [2]

- Any two: increases motivation/focus, sense of purpose, coordination, or pressure if unrealistic (1 each).

(b) State one impact of changing objectives on stakeholders. [2]

- e.g. a growth objective may bring jobs for employees (1) but risk for shareholders or disruption for the community (1).

Q20

(a) Define 'budget' in the context of objectives. [2]

- A financial plan/target (1) that allocates resources to help achieve objectives (1).

(b) State the link between corporate and functional objectives. [2]

- Functional (departmental) objectives are derived from (1) and support the overall corporate objectives (1).

KNOWLEDGE PAPER B4 – MARK SCHEME

Human resource management (Syllabus 2.1)

Knowledge-recall answers

Q1

(a) Define 'human resource management (HRM)'. [2]

- Managing the recruitment, development, deployment and welfare of employees (1) to meet organisational objectives (1).

(b) State two roles of HRM. [2]

- Any two: workforce planning, recruitment/selection, training, managing relations/morale, appraisal, dismissal/redundancy (1 each).

Q2

(a) Define 'workforce plan'. [2]

- A plan forecasting the number and type of employees needed (1) and how to obtain/retain them (1).

(b) State two factors considered in workforce planning. [2]

- Any two: forecast demand/growth, labour turnover, retirements, skills needed, technology, budget (1 each).

Q3

(a) Define 'labour turnover'. [2]

- The percentage of the workforce that leaves (1) over a period, usually a year (1).

(b) State the formula for labour turnover. [2]

- $(\text{Number of staff leaving} / \text{average number employed}) \times 100$ (2).

Q4

(a) State two implications of high labour turnover. [2]

- Any two: higher recruitment/training costs, loss of experience, disruption, low morale (1 each).

(b) State one implication of very low labour turnover. [2]

- Few new ideas/skills, ageing workforce, harder to reduce staff numbers (1–2).

Q5

(a) Distinguish between a job description and a person specification. [2]

- Job description: the duties/tasks of the role (1); person specification: the skills/qualities the candidate needs (1).

(b) State two methods of advertising a vacancy. [2]

- Any two: job advertisement, employment agency, online recruitment, internal notice (1 each).

Q6

(a) Distinguish between internal and external recruitment. [2]

- Internal: filling a post with an existing employee (1); external: recruiting from outside the business (1).

(b) State one advantage of internal recruitment. [1]

- Cheaper/faster, known candidate, motivating (1).

(c) State one advantage of external recruitment. [1]

- New ideas/skills, wider pool (1).

Q7

State four methods of selecting employees. [4]

- Any four: CV/résumé, application form, interview, references, testing, assessment centre (1 each).

Q8

(a) Define 'assessment centre'.

[2]

- A selection method where candidates complete tasks/tests (1) observed by assessors to judge suitability (1).

(b) State one advantage and one disadvantage of interviews.

[2]

- Advantage: face-to-face assessment (1); disadvantage: subjective/biased (1).

Q9

(a) Define 'employment contract'.

[2]

- A legal agreement between employer and employee (1) setting out terms such as pay, hours and duties (1).

(b) State two items usually included in an employment contract.

[2]

- Any two: pay, hours, holiday, notice period, job title/duties (1 each).

Q10

(a) Distinguish between redundancy and dismissal.

[2]

- Redundancy: the job is no longer needed – not the employee's fault (1); dismissal: employment ended due to the employee's conduct/capability (1).

(b) Distinguish between voluntary and involuntary redundancy.

[2]

- Voluntary: the employee chooses to leave (often for a payment) (1); involuntary: the employer selects who must go (1).

Q11

(a) Define 'unfair dismissal'.

[2]

- Ending employment without a fair reason (1) or without following a fair procedure (1).

(b) Give one example of a fair reason for dismissal.

[1]

- Any: gross misconduct, poor performance/capability, theft (1).

Q12

(a) Define 'employee morale'.

[2]

- The confidence, satisfaction and enthusiasm (1) employees feel towards their work/employer (1).

(b) State two signs of low morale.

[2]

- Any two: high absenteeism, high labour turnover, low productivity, disputes (1 each).

Q13

(a) Define 'work-life balance'.

[2]

- The balance between time/effort spent on work and on personal/family life (1) affecting wellbeing (1).

(b) State two ways to improve employees' work-life balance.

[2]

- Any two: flexible/remote working, part-time/job share, generous leave, limiting overtime (1 each).

Q14

(a) Define 'diversity' in the workplace.

[2]

- Employing people from a wide range of backgrounds (1) and valuing their differences (1).

(b) State one benefit of workplace diversity.

[1]

- Any: wider talent pool, creativity, understanding of diverse customers, reputation (1).

Q15

(a) Define 'induction training'.

[2]

- Training given to new employees when they join (1) to introduce them to the job, workplace and procedures (1).

- (b) Distinguish between on-the-job and off-the-job training.* [2]
- On-the-job: training at the workplace while doing the job (1); off-the-job: training away from the normal workplace (1).
-

Q16

- (a) State one advantage of on-the-job training.* [1]
- Cheap, job-specific, productive while training (1).
- (b) State one advantage of off-the-job training.* [1]
- Specialist expertise/qualifications, fewer distractions (1).
- (c) State one drawback of training for a business.* [1]
- Cost, time/disruption, trained staff may leave (1).
-

Q17

- (a) Define 'multi-skilling'.* [2]
- Training employees to perform several tasks/roles (1) to increase workforce flexibility (1).
- (b) Define 'employee development'.* [2]
- The long-term growth of employees' skills, knowledge and careers (1) beyond immediate job training (1).
-

Q18

- (a) Define 'trade union'.* [2]
- An organisation of workers (1) that represents and protects their collective interests (1).
- (b) Define 'collective bargaining'.* [2]
- Negotiation of pay/conditions (1) between an employer and a union on behalf of a group of workers (1).
-

Q19

- (a) State one benefit to employees of trade union membership.* [1]
- Collective bargaining power, representation in disputes (1).
- (b) State one benefit to an employer of dealing with a union.* [1]
- Single negotiation channel, fewer individual disputes, efficient communication (1).
- (c) State one consequence of poor management–workforce relations.* [1]
- Strikes, low morale, high turnover, low productivity (1).
-

Q20

- (a) State two ways cooperation between management and workforce benefits a business.* [2]
- Any two: smoother change, fewer disputes, higher morale/productivity, useful ideas (1 each).
- (b) State how employee development can encourage intrapreneurship.* [2]
- Builds skills and confidence (1) so staff generate and pursue new ideas within the firm (1).
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KNOWLEDGE PAPER B5 – MARK SCHEME

Motivation & management (Syllabus 2.2 & 2.3)

Knowledge-recall answers

Q1

(a) Define 'motivation'.

[2]

- The internal drive/desire (1) that causes people to act to achieve a goal/work well (1).

(b) State two benefits to a business of a motivated workforce.

[2]

- Any two: higher productivity/quality, lower absenteeism/turnover, better service, more ideas (1 each).

Q2

(a) Outline Taylor's theory of motivation.

[3]

- Scientific management: workers motivated mainly by money (1); find the most efficient method (1) and pay by results/piece rate with close control (1).

(b) State one criticism of Taylor's approach.

[1]

- Ignores social/psychological needs; treats workers as machines (1).

Q3

(a) Outline the main finding of Mayo's Hawthorne studies.

[3]

- Workers are motivated by social factors/group belonging and attention (1); productivity rose when they felt valued/consulted (1) – the human relations school (1).

(b) State one way to apply Mayo's ideas.

[1]

- Teamwork, consulting/involving staff, showing interest (1).

Q4

List the five levels of Maslow's hierarchy of needs, lowest to highest.

[4]

- Physiological -> safety/security -> social/belonging -> esteem -> self-actualisation (4 for full correct order; 2 if minor errors).

Q5

(a) Give one workplace example of a 'physiological' need being met.

[1]

- Pay/wages, breaks, rest facilities (1).

(b) Give one workplace example of an 'esteem' need being met.

[1]

- Recognition, status, promotion (1).

(c) Give one workplace example of a 'self-actualisation' need being met.

[1]

- Challenging work, development, achieving potential (1).

Q6

(a) Distinguish between Herzberg's motivators and hygiene factors.

[2]

- Motivators (e.g. achievement, recognition) cause satisfaction (1); hygiene factors (e.g. pay, conditions) cause dissatisfaction if poor but do not motivate (1).

(b) Give two examples of hygiene factors.

[2]

- Any two: pay, working conditions, supervision, company policy, job security (1 each).

Q7

(a) State McClelland's three needs.

[3]

- Need for achievement, need for affiliation, need for power (1 each).

(b) *State one implication of McClelland's theory for managers.* [1]

- Match roles/rewards to an individual's dominant need (1).

Q8

(a) *State the three components of Vroom's expectancy theory.* [3]

- Expectancy, instrumentality and valence (1 each).

(b) *State what 'valence' means.* [1]

- The value/importance the individual places on the reward (1).

Q9

(a) *Define 'job enrichment'.* [2]

- Redesigning a job to add more challenging, meaningful tasks and responsibility (1) to increase motivation (1).

(b) *Distinguish between job enrichment and job enlargement.* [2]

- Enrichment: adds more responsibility/depth (vertical) (1); enlargement: adds more tasks of similar level (horizontal) (1).

Q10

State four financial methods of payment/reward. [4]

- Any four: time rate, salary, piece rate, commission, bonus, profit sharing, performance-related pay, fringe benefits (1 each).

Q11

(a) *Distinguish between piece rate and time rate.* [2]

- Piece rate: pay per unit produced (1); time rate: pay per hour/time worked (1).

(b) *Define 'commission'.* [1]

- Pay based on a percentage of sales made (1).

(c) *Define 'fringe benefits'.* [1]

- Non-cash rewards, e.g. company car, health insurance (1).

Q12

State four non-financial methods of motivation. [4]

- Any four: job enrichment, job rotation, teamwork, empowerment, participation, training, promotion, status, job redesign (1 each).

Q13

(a) *Define 'empowerment'.* [2]

- Giving employees authority/autonomy (1) to make decisions about their own work (1).

(b) *Define 'delegation'.* [1]

- Passing authority for a task down to a subordinate (1).

(c) *State one way employees can participate in management.* [1]

- Works councils, quality circles, worker directors, team meetings (1).

Q14

State the four functions of management identified by Fayol. [4]

- Planning, organising, directing (commanding), controlling (coordinating accepted) (1 each).

Q15

(a) *State the three categories of management roles identified by Mintzberg.* [3]

- Interpersonal, informational and decisional roles (1 each).

(b) Give one example of an interpersonal role.

[1]

- Figurehead, leader or liaison (1).

Q16

(a) Define 'autocratic' management style.

[1]

- The manager makes decisions alone and directs staff (1).

(b) Define 'democratic' management style.

[1]

- The manager consults and involves staff in decisions (1).

(c) Define 'laissez-faire' management style.

[1]

- The manager gives staff freedom to make their own decisions with little direction (1).

(d) Define 'paternalistic' management style.

[1]

- The manager makes decisions but explains them and considers staff welfare (1).

Q17

(a) Outline McGregor's Theory X view of workers.

[2]

- Assumes workers dislike work, avoid responsibility (1) and must be controlled/directed and motivated by money (1).

(b) Outline McGregor's Theory Y view of workers.

[2]

- Assumes workers enjoy work, seek responsibility (1) and are self-motivated and creative (1).

Q18

(a) State one situation where an autocratic style is suitable.

[1]

- A crisis/emergency or with unskilled/new staff (1).

(b) State one situation where a laissez-faire style is suitable.

[1]

- With highly skilled/creative/self-motivated staff (1).

(c) State one benefit of a democratic style.

[1]

- Higher motivation, better ideas, buy-in (1).

Q19

(a) Define 'leadership'.

[2]

- The ability to influence/inspire others (1) towards achieving goals (1).

(b) State one difference between a manager and a leader.

[2]

- Managers plan/organise/control tasks (1); leaders inspire, set vision and motivate people (1).

Q20

(a) State two ways a manager contributes to business performance.

[2]

- Any two: sets direction, allocates resources, motivates staff, controls/monitors, solves problems (1 each).

(b) State one benefit of using financial and non-financial motivators together.

[2]

- Meets both economic and psychological needs (1), giving stronger, more lasting motivation (1).

KNOWLEDGE PAPER B6 – MARK SCHEME**Nature of marketing & market research (Syllabus 3.1 & 3.2)****Knowledge-recall answers****Q1**

(a) Define 'marketing'. [2]

- The process of identifying and satisfying customer needs (1) profitably (1).

(b) Define 'marketing objective'. [1]

- A specific marketing goal, e.g. to raise market share or brand awareness (1).

(c) State the link between marketing and corporate objectives. [1]

- Marketing objectives are derived from and support corporate objectives (1).

Q2

(a) State two factors that influence demand for a product. [2]

- Any two: price, income, price of substitutes/complements, tastes, advertising, season (1 each).

(b) State two factors that influence supply of a product. [2]

- Any two: costs of production, technology, number of suppliers, weather (for agriculture), taxes (1 each).

Q3

(a) Define 'equilibrium price'. [2]

- The price where quantity demanded equals quantity supplied (1) – the market clears (1).

(b) State what happens to price if demand rises while supply is unchanged. [1]

- Price rises (1).

(c) State what happens to price if supply rises while demand is unchanged. [1]

- Price falls (1).

Q4

(a) Distinguish between a consumer market and an industrial market. [2]

- Consumer (B2C): sold to households for personal use (1); industrial (B2B): sold to other businesses for production (1).

(b) State what B2C and B2B stand for. [2]

- B2C = business to consumer (1); B2B = business to business (1).

Q5

(a) Distinguish between product orientation and market orientation. [2]

- Product-orientated: focuses on the product/what the firm can make (1); market-orientated: focuses on customer needs (1).

(b) State one risk of being product-orientated. [1]

- May produce goods customers do not want (1).

(c) State one benefit of being market-orientated. [1]

- Products match customer needs, higher sales/loyalty (1).

Q6

(a) Define 'market share'. [2]

- The proportion of total sales in a market (1) held by one business/product, as a percentage (1).

(b) *State the formula for market share.* [2]

- $(\text{Business sales} / \text{total market sales}) \times 100$ (2).

Q7

(a) *Define 'market growth'.* [2]

- The increase in the total size/sales of a market (1) over a period, as a percentage (1).

(b) *State one implication of a rising market share.* [1]

- Growing competitiveness/brand strength, more market power (1).

Q8

(a) *Distinguish between mass marketing and niche marketing.* [2]

- Mass: aiming at the whole/large market with a standard offer (1); niche: targeting a small specific segment (1).

(b) *State one advantage of niche marketing.* [1]

- Less competition, premium prices, close customer relations (1).

(c) *State one advantage of mass marketing.* [1]

- High volume, economies of scale, wide reach (1).

Q9

(a) *Define 'market segmentation'.* [2]

- Dividing a market into distinct groups (1) with similar characteristics/needs (1).

(b) *State the three main methods of segmentation.* [3]

- Geographic, demographic and psychographic (1 each).

Q10

(a) *Give one example of demographic segmentation.* [1]

- Age, gender, income, occupation, family size (1).

(b) *Give one example of geographic segmentation.* [1]

- Region, country, urban/rural, climate (1).

(c) *Give one example of psychographic segmentation.* [1]

- Lifestyle, values, personality, attitudes (1).

Q11

(a) *State one advantage of market segmentation.* [1]

- Precise targeting, tailored offers, less waste (1).

(b) *State one disadvantage of market segmentation.* [1]

- Research cost, may miss customers, smaller volumes per segment (1).

(c) *Define 'target market'.* [1]

- The specific group of customers a business aims its product at (1).

Q12

(a) *Define 'customer relationship marketing (CRM)'.* [2]

- A strategy focused on building long-term relationships with customers (1) to increase loyalty and repeat purchases (1).

(b) *State one benefit and one cost of CRM.* [2]

- Benefit: loyalty/repeat sales/higher lifetime value (1); cost: CRM systems/staff time/data management (1).

Q13

(a) Define 'market research'.

[2]

- The systematic gathering and analysis of data (1) about customers, competitors and the market (1).

(b) State two purposes of market research.

[2]

- Any two: identify customer needs, size/growth of market, competitors, test the marketing mix, reduce risk (1 each).

Q14

(a) Distinguish between primary and secondary research.

[2]

- Primary (field): first-hand data collected for a specific purpose (1); secondary (desk): existing data collected by others (1).

(b) State one advantage of primary research.

[1]

- Specific, current, exclusive/tailored (1).

(c) State one advantage of secondary research.

[1]

- Cheap, quick, good for market size/trends (1).

Q15

State four methods of primary research.

[4]

- Any four: questionnaire/survey, interview, focus group, observation, test marketing (1 each).

Q16

(a) State two sources of secondary research.

[2]

- Any two: government statistics, market reports, internet, internal sales records, trade journals (1 each).

(b) State one limitation of secondary data.

[1]

- May be out of date, general, or available to competitors (1).

Q17

(a) Define 'sample'.

[2]

- A representative sub-group of the target population (1) selected for research instead of everyone (1).

(b) State one reason sampling is necessary.

[1]

- Surveying everyone is too costly/time-consuming (1).

(c) State one limitation of sampling.

[1]

- Risk of sampling error/unrepresentative sample (1).

Q18

(a) Distinguish between quantitative and qualitative data.

[2]

- Quantitative: numerical/measurable data (1); qualitative: opinions/attitudes/reasons, descriptive (1).

(b) State one reason a business uses both types.

[2]

- Quantitative shows how many/how much (1); qualitative explains why (1).

Q19

(a) Define the 'reliability' of data.

[2]

- The extent to which data is accurate/unbiased (1) and would give consistent results if repeated (1).

(b) State one factor that reduces reliability of research data.

[1]

- Small/biased sample, leading questions, out-of-date data, dishonest answers (1).

Q20

(a) State two ways data can be presented visually.

[2]

- Any two: bar chart, pie chart, line graph, table, pictogram (1 each).

(b) State one benefit of presenting data in charts.

[1]

- Easier to interpret/compare, spot trends quickly (1).
-

KNOWLEDGE PAPER B7 – MARK SCHEME**The marketing mix (Syllabus 3.3)****Knowledge-recall answers****Q1**

(a) State the 4Ps of the marketing mix. [2]

- Product, Price, Promotion, Place (all four = 2).

(b) State why the elements of the marketing mix must be consistent. [2]

- A premium product needs a high price, quality promotion and selective distribution (1); mismatched Ps confuse customers/waste spend (1).

Q2

(a) Distinguish between a good and a service. [2]

- A good is a tangible physical product (1); a service is intangible (1).

(b) Distinguish between tangible and intangible product attributes. [2]

- Tangible: physical features (size, materials) (1); intangible: image, brand, service/reputation (1).

Q3

(a) Define 'unique selling point (USP)'. [2]

- A feature that distinguishes a product from competitors (1) and gives customers a reason to choose it (1).

(b) Define 'product differentiation'. [1]

- Making a product distinct from rivals through design, features or branding (1).

(c) State one benefit of product development. [1]

- Keeps products competitive/extends life cycle, supports growth (1).

Q4

State the stages of the product life cycle, in order. [4]

- Development -> introduction -> growth -> maturity -> decline (4 for full correct order).

Q5

(a) Define 'extension strategy'. [2]

- Actions to prolong the maturity stage/life of a product (1) and delay decline (1).

(b) State two extension strategies. [2]

- Any two: new uses/markets, restyling/new features, new packaging, more promotion, price change (1 each).

Q6

State the four categories of the Boston Matrix. [4]

- Star, Question mark (problem child), Cash cow, Dog (1 each).

Q7

(a) Describe a 'cash cow'. [2]

- High market share (1) in a low-growth market – generates strong cash (1).

(b) Describe a 'star'. [2]

- High market share (1) in a high-growth market (1).

Q8

(a) Describe a 'question mark' (problem child). [2]

- Low market share (1) in a high-growth market (1).

(b) Describe a 'dog'. [2]

- Low market share (1) in a low-growth market (1).

Q9

(a) Define 'penetration pricing'. [2]

- Setting a low initial price (1) to enter a market/gain share quickly (1).

(b) Define 'price skimming'. [2]

- Setting a high initial price for a new/innovative product (1) to maximise revenue from early adopters (1).

Q10

(a) Define 'cost-based (cost-plus) pricing'. [2]

- Setting price by adding a mark-up/profit margin (1) to the unit cost (1).

(b) Define 'competitive pricing'. [1]

- Setting price in line with/relative to competitors (1).

(c) Define 'psychological pricing'. [1]

- Pricing to seem lower/more attractive, e.g. \$9.99 (1).

Q11

(a) Define 'price discrimination'. [2]

- Charging different customers different prices for the same product (1) based on willingness/ability to pay (1).

(b) Define 'dynamic pricing'. [2]

- Adjusting prices in real time (1) in response to demand/timing/data, e.g. airlines (1).

Q12

(a) State two objectives of promotion. [2]

- Any two: inform, persuade, remind, build brand/loyalty, increase sales (1 each).

(b) Distinguish between above-the-line and below-the-line promotion. [2]

- Above-the-line: paid mass media advertising (1); below-the-line: targeted methods the firm controls (sales promotion, direct) (1).

Q13

State four methods of promotion. [4]

- Any four: advertising, sales promotion, direct promotion, digital/social media, public relations, personal selling (1 each).

Q14

(a) Give two examples of sales promotion. [2]

- Any two: discounts, BOGOF, coupons, loyalty points, free samples, competitions (1 each).

(b) State one example of a digital promotion method. [1]

- Social media ads, email marketing, influencer marketing, SEO, pay-per-click (1).

Q15

(a) State one benefit of digital promotion. [1]

- Cheap, targeted, wide reach, measurable, interactive (1).

(b) State one drawback of digital promotion. [1]

- Ad-blocking, oversupply of ads, reputation risk, needs skills (1).

- (c) *State one benefit of traditional advertising (e.g. TV).* [1]
- Wide/mass reach, builds brand, high trust (1).
-

Q16

- (a) *Define 'branding'.* [2]
- Creating a distinct identity (name/logo/design) for a product (1) to differentiate it and build recognition/loyalty (1).
- (b) *State two benefits of strong branding.* [2]
- Any two: recognition, loyalty/repeat purchase, premium pricing, easier launches (1 each).
-

Q17

- (a) *State two roles of packaging.* [2]
- Any two: protect the product, attract attention, inform, promote the brand, differentiate (1 each).
- (b) *State one way packaging can be a USP.* [1]
- Distinctive/eco-friendly/reusable design that sets it apart (1).
-

Q18

- (a) *Define 'place' (in the marketing mix).* [2]
- How and where the product reaches the customer (1) – the channels of distribution (1).
- (b) *Distinguish between digital and physical distribution.* [2]
- Physical: via wholesalers/retailers/stores (1); digital: online/e-commerce/downloads (1).
-

Q19

- (a) *State two channels of distribution a manufacturer could use.* [2]
- Any two: direct to consumer, via retailer, via wholesaler then retailer, via agent, online (1 each).
- (b) *State one benefit to a manufacturer of selling directly online.* [1]
- Higher margins (no intermediary), customer data, brand control (1).
-

Q20

- (a) *State two factors a business considers when choosing a distribution channel.* [2]
- Any two: type of product, target market/buying habits, cost/margin, control, reach (1 each).
- (b) *State one use of the Boston Matrix.* [1]
- Analyse the product portfolio / decide where to invest or divest (1).
-

KNOWLEDGE PAPER B8 – MARK SCHEME

Operations management (Syllabus 4)

Knowledge-recall answers

Q1

(a) Define the 'transformational process'. [2]

- Converting inputs (resources) into outputs (goods/services) (1) that have greater value (1).

(b) State what is meant by 'inputs' and 'outputs'. [2]

- Inputs: resources used (land, labour, capital) (1); outputs: the finished goods/services produced (1).

Q2

(a) Distinguish between efficiency and effectiveness. [2]

- Efficiency: producing with least waste/cost (1); effectiveness: achieving the intended objective/meeting needs (1).

(b) Define 'productivity'. [1]

- Output per unit of input in a given time (1).

(c) Define 'sustainability' in operations. [1]

- Producing without harming the environment/future generations' needs (1).

Q3

(a) Define 'labour productivity'. [2]

- Output per worker (1) in a given period (1).

(b) State the formula for labour productivity. [2]

- Total output / number of workers (2).

Q4

(a) Distinguish between capital-intensive and labour-intensive operations. [2]

- Capital-intensive: relies mainly on machinery/technology (1); labour-intensive: relies mainly on human effort (1).

(b) State one benefit of capital-intensive production. [1]

- Consistent quality, high output/low unit cost, works continuously (1).

(c) State one benefit of labour-intensive production. [1]

- Flexible, suits bespoke/craft work, lower capital cost (1).

Q5

(a) Define 'job production'. [2]

- Producing one-off/custom items individually (1) to a customer's specific requirements (1).

(b) Define 'batch production'. [2]

- Producing groups (batches) of identical products (1) that move through each stage together (1).

Q6

(a) Define 'flow production'. [2]

- Continuous mass production of standardised products (1) on a production line (1).

(b) Define 'mass customisation'. [2]

- Using flexible production (1) to make large volumes of individually tailored products at near mass-production cost (1).

Q7

(a) *State one advantage of job production.* [1]

- Meets exact needs, premium price, high quality (1).

(b) *State one advantage of flow production.* [1]

- Low unit cost at volume, consistent quality (1).

(c) *State one problem of changing from batch to flow production.* [1]

- High investment, retraining, downtime, loss of flexibility (1).
-

Q8

State the three types of inventory held by a manufacturer. [3]

- Raw materials, work in progress, finished goods (1 each).
-

Q9

(a) *Define 'buffer inventory'.* [2]

- A minimum level of stock held as a safety margin (1) to cover unexpected demand or delivery delays (1).

(b) *Define 'lead time'.* [1]

- The time between placing an order and receiving the goods (1).

(c) *Define 're-order level'.* [1]

- The stock level at which a new order is placed (1).
-

Q10

(a) *State two costs of holding inventory.* [2]

- Any two: storage, insurance, obsolescence/spoilage, cash tied up (1 each).

(b) *State two benefits of holding inventory.* [2]

- Any two: meets unexpected demand, avoids stock-outs, buffers delays, bulk discounts (1 each).
-

Q11

(a) *Define 'Just in Time (JIT)'.* [2]

- An approach where materials arrive exactly when needed (1), minimising stock held (1).

(b) *Define 'Just in Case (JIC)'.* [2]

- Holding buffer stock 'just in case' (1) to protect against demand/supply fluctuations (1).
-

Q12

(a) *State one benefit of JIT.* [1]

- Lower holding costs, less cash tied up, less waste (1).

(b) *State one risk of JIT.* [1]

- Vulnerable to supply disruption/stock-outs (1).

(c) *State one requirement for JIT to work.* [1]

- Reliable suppliers, frequent deliveries, accurate forecasting (1).
-

Q13

(a) *Define 'supply chain management'.* [2]

- Managing the flow of materials, goods and information (1) from suppliers through production to the customer (1).

(b) *State one benefit of effective supply chain management.* [1]

- Lower costs/lead times, reliable supply, better quality/service (1).
-

Q14

(a) Define 'capacity utilisation'. [2]

- The percentage of maximum possible output (1) currently being used (1).

(b) State the formula for capacity utilisation. [2]

- $(\text{Current output} / \text{maximum possible output}) \times 100$ (2).
-

Q15

(a) State one problem of operating at very low capacity utilisation. [1]

- High fixed cost per unit, idle resources, low profit (1).

(b) State one problem of operating at (or above) full capacity for long. [1]

- No slack for orders/maintenance, overworked staff/machines, quality falls (1).

(c) State one way to improve low capacity utilisation. [1]

- Increase demand (marketing), rationalise capacity, subcontract for others (1).
-

Q16

(a) Define 'rationalisation'. [2]

- Reducing capacity/resources (1) to cut costs and raise efficiency/utilisation (1).

(b) State why higher capacity utilisation lowers unit costs. [2]

- Fixed costs are spread over more units (1), reducing fixed cost per unit (1).
-

Q17

(a) Define 'outsourcing'. [2]

- Contracting a business activity out to an external provider (1) rather than doing it in-house (1).

(b) State one benefit of outsourcing. [1]

- Lower cost, specialist expertise, flexibility, focus on core (1).

(c) State one drawback of outsourcing. [1]

- Less control over quality/timing, reliance on supplier, reputation risk (1).
-

Q18

(a) State two measures that could improve the sustainability of operations. [2]

- Any two: recycle/reduce waste, energy-efficient equipment, renewable energy, sustainable materials (1 each).

(b) State one benefit to a business of more sustainable operations. [1]

- Lower long-run costs, better reputation, meets regulation/customer demand (1).
-

Q19

(a) State one way to increase a business's capacity. [1]

- Invest in machinery/premises, hire staff, add shifts/overtime, outsource (1).

(b) State how productivity and unit costs are linked. [2]

- Higher productivity lowers labour/variable cost per unit (1), reducing average cost (1).
-

Q20

(a) State how added value is created in operations. [2]

- Efficient transformation of inputs into outputs (1) worth more than the input cost (1).

(b) State one way to read an inventory control chart. [2]

- Identify maximum, re-order and buffer levels (1) and when stock hits the re-order level (1).
-

KNOWLEDGE PAPER B9 – MARK SCHEME**Business finance, sources & cash flow (Syllabus 5.1–5.3)****Knowledge-recall answers****Q1**

(a) *State two reasons a business needs finance.* [2]

- Any two: to start up, fund day-to-day operations, grow/expand, survive a shortfall, buy assets (1 each).

(b) *Distinguish between a short-term and long-term need for finance.* [2]

- Short-term: day-to-day/working capital (1); long-term: non-current assets/expansion (1).

Q2

(a) *Distinguish between cash and profit.* [2]

- Profit: revenue minus expenses over a period (1); cash: actual money flowing in/out, with different timing (1).

(b) *State one reason a profitable business can run out of cash.* [1]

- Cash tied up in receivables/inventory or spent on assets/loan repayments (1).

(c) *Define 'insolvency'.* [1]

- Being unable to pay debts as they fall due (1).

Q3

(a) *Define 'bankruptcy'.* [1]

- A legal status when an individual/business cannot repay its debts (1).

(b) *Define 'liquidation'.* [1]

- Closing a company and selling its assets to repay creditors (1).

(c) *Define 'administration'.* [2]

- A process where an administrator runs a struggling company (1) to try to rescue it or get a better result for creditors (1).

Q4

(a) *Define 'working capital'.* [2]

- The finance available for day-to-day operations (1); current assets minus current liabilities (1).

(b) *State the working capital formula.* [1]

- Working capital = current assets - current liabilities (1).

Q5

(a) *Distinguish between trade receivables and trade payables.* [2]

- Receivables: money owed to the business by credit customers (1); payables: money the business owes suppliers (1).

(b) *State one way to reduce trade receivables.* [1]

- Tighter credit terms, prompt-payment discounts, debt factoring, credit checks (1).

Q6

(a) *Distinguish between capital and revenue expenditure.* [2]

- Capital: spending on non-current assets used long-term (1); revenue: day-to-day running costs (1).

(b) *Give one example of each.* [2]

- Capital: machinery/premises (1); revenue: wages/materials/rent (1).

Q7

State four internal sources of finance.

[4]

- Any four: retained earnings, sale of unwanted assets, sale and leaseback, working capital, owner's investment (1 each).

Q8

(a) Define 'retained earnings'.

[2]

- Profit kept in the business (1) rather than distributed to owners, used to fund activities (1).

(b) State one advantage of using retained earnings.

[1]

- No interest/repayment, no loss of control (1).

Q9

State four external sources of finance.

[4]

- Any four: share capital, debentures, bank loan, overdraft, leasing, hire purchase, mortgage, debt factoring, trade credit, venture capital, crowdfunding, microfinance, government grant (1 each).

Q10

(a) Define 'share capital'.

[2]

- Finance raised by selling shares (1) to shareholders who become part-owners (1).

(b) Define 'debenture'.

[2]

- A long-term loan to a company (1) that pays fixed interest and is repaid on a set date (1).

Q11

(a) Distinguish between a bank loan and a bank overdraft.

[2]

- Loan: fixed sum repaid with interest over a set period (long-term) (1); overdraft: withdraw more than the balance up to a limit (short-term) (1).

(b) State one situation where an overdraft is suitable.

[1]

- Covering a short-term/seasonal cash shortfall (1).

Q12

(a) Define 'leasing'.

[2]

- Paying to use an asset (1) without owning it, via regular payments (1).

(b) Define 'hire purchase'.

[2]

- Buying an asset by paying in instalments (1); ownership passes after the final payment (1).

Q13

(a) Define 'trade credit'.

[2]

- Buying goods/materials from suppliers now (1) and paying later (e.g. within 30–60 days) (1).

(b) Define 'debt factoring'.

[2]

- Selling trade receivables to a factor (1) for immediate cash (at a discount) (1).

Q14

(a) Define 'venture capital'.

[2]

- Finance from investors to high-risk, high-potential businesses (1), usually for an equity stake (1).

(b) Define 'crowdfunding'.

[2]

- Raising small amounts from many people (1), usually via an online platform (1).

Q15

(a) Define 'microfinance'.

[2]

- Small-scale financial services/loans (1) for people/businesses with limited access to normal banking (1).

(b) Define 'government grant'.

[1]

- Money given by government that usually does not need to be repaid (1).

Q16

State four factors that affect the choice of a source of finance.

[4]

- Any four: cost, flexibility, need to retain control, use/purpose (short vs long term), level of existing debt, risk (1 each).

Q17

(a) State how the form of ownership affects finance available.

[2]

- Sole traders/partnerships cannot sell shares (limited sources) (1); companies (esp. plcs) can raise share capital (1).

(b) State one source of finance suitable for a sole trader.

[1]

- Owner's savings, bank loan, overdraft, trade credit, microfinance (1).

Q18

(a) Define 'cash flow forecast'.

[2]

- An estimate of expected cash inflows and outflows (1) over a future period (1).

(b) Define 'net cash flow'.

[1]

- Cash inflows minus cash outflows in a period (1).

Q19

(a) State how to calculate the closing cash balance.

[2]

- Closing balance = opening balance + net cash flow (2).

(b) State the link between the closing balance and the next opening balance.

[1]

- The closing balance of one period is the opening balance of the next (1).

Q20

State four ways a business could improve its cash flow.

[4]

- Any four: chase receivables/tighten credit, negotiate longer supplier credit, reduce inventory, cut costs, arrange an overdraft, delay capital spending, sale and leaseback (1 each).

KNOWLEDGE PAPER B10 – MARK SCHEME

Costs, break-even, budgets & variances (Syllabus 5.4 & 5.5)

Knowledge-recall answers

Q1

- (a) Define 'fixed costs'. [1]
- Costs that do not change with output, e.g. rent (1).
- (b) Define 'variable costs'. [1]
- Costs that change directly with output, e.g. materials (1).
- (c) Distinguish between direct and indirect costs. [2]
- Direct: attributable to a specific product/cost centre (1); indirect (overheads): cannot be directly attributed (1).

Q2

- (a) Define 'total cost'. [1]
- Fixed costs plus total variable costs (1).
- (b) Define 'average (unit) cost'. [1]
- Total cost divided by output (1).
- (c) Define 'marginal cost'. [2]
- The cost of producing one extra unit of output (2).

Q3

- (a) State why accurate cost information is important. [2]
- For pricing decisions (1) and to monitor/control performance and calculate profit (1).
- (b) State one use of cost information. [1]
- Pricing, budgeting, make-or-buy, special orders, profit calculation (1).

Q4

- (a) Distinguish between full costing and contribution costing. [2]
- Full (absorption): allocates all costs including overheads to each product (1); contribution: charges only variable costs, fixed costs treated as a period cost (1).
- (b) State one limitation of full costing. [1]
- Overhead allocation is often arbitrary, distorting product costs (1).

Q5

- (a) Define 'contribution per unit'. [2]
- Selling price per unit (1) minus variable cost per unit (1).
- (b) State the formula for total contribution. [1]
- Contribution per unit × quantity sold (1).

Q6

- (a) Distinguish between contribution and profit. [2]
- Contribution = sales minus variable costs (covers fixed costs first) (1); profit = total contribution minus fixed costs (1).
- (b) State one situation where contribution costing is useful. [2]
- Special-order/make-or-buy decisions or break-even analysis (1) where fixed costs are already covered (1).

Q7

(a) Define 'break-even level of output'.

[2]

- The output at which total revenue equals total cost (1) – no profit or loss (1).

(b) State the formula for break-even output.

[2]

- Break-even = fixed costs / contribution per unit (2).

Q8

(a) Define 'margin of safety'.

[2]

- The amount by which actual/current output exceeds the break-even output (1) – how far sales can fall before a loss (1).

(b) State the formula for margin of safety.

[1]

- Margin of safety = actual output - break-even output (1).

Q9

A firm has fixed costs of \$30,000, price \$20 and variable cost \$8. State the contribution per unit and the break-even output.

[4]

Contribution = 20 - 8 = \$12 (2)

Break-even = 30,000 / 12 = 2,500 units (2)

Q10

(a) State two uses of break-even analysis.

[2]

- Any two: set output/sales targets, assess price/cost changes, support finance applications, find margin of safety (1 each).

(b) State two limitations of break-even analysis.

[2]

- Any two: assumes all output sold, constant price/costs, ignores discounts/economies of scale, only as good as the data (1 each).

Q11

(a) State what the break-even point is on a break-even chart.

[2]

- Where the total revenue line crosses the total cost line (1) – output where TR = TC (1).

(b) State what the area beyond break-even (up to current output) represents.

[1]

- Profit (and the margin of safety) (1).

Q12

(a) Explain how contribution helps a special-order decision.

[2]

- Accept if the price exceeds variable cost (positive contribution) (1), since fixed costs are already covered it adds to profit (1).

(b) State one situation where contribution costing should not be used for pricing.

[1]

- Long-term/all pricing – fixed costs must eventually be covered (1).

Q13

(a) Define 'budget'.

[2]

- A financial plan for a future period (1) setting out expected income and/or expenditure (1).

(b) State two purposes of budgeting.

[2]

- Any two: planning, control/monitoring, motivation, coordination, resource allocation (1 each).

Q14

(a) Define 'incremental budget'.

[2]

- A budget based on the previous period's figures (1) adjusted by a set amount/percentage (1).

(b) Define 'zero-based budget'.

[2]

- A budget where every item must be justified from zero each period (1) rather than based on the past (1).

Q15

(a) Define 'flexible budget'.

[2]

- A budget adjusted to reflect the actual level of activity/output (1) so costs are compared at the achieved output (1).

(b) State one advantage of zero-based budgeting.

[1]

- Avoids carrying forward waste, forces justification/efficiency (1).

Q16

State four uses of budgets.

[4]

- Any four: planning, allocating resources, controlling/monitoring, measuring performance, motivating staff, coordination (1 each).

Q17

(a) Define 'variance'.

[2]

- The difference between a budgeted figure and the actual figure (1) for income or costs (1).

(b) Distinguish between a favourable and an adverse variance.

[2]

- Favourable: actual is better than budget (higher revenue/profit or lower cost) (1); adverse: actual is worse than budget (1).

Q18

Budgeted cost was \$50,000; actual cost was \$57,000. State the variance and its type.

[3]

Variance = 57,000 - 50,000 = \$7,000 higher cost (2)

- \$7,000 ADVERSE (1)

Q19

Budgeted revenue was \$120,000; actual revenue was \$135,000. State the variance and its type.

[3]

Variance = 135,000 - 120,000 = \$15,000 higher revenue (2)

- \$15,000 FAVOURABLE (1)

Q20

(a) State one benefit of investigating variances.

[1]

- Identifies problems/successes early for corrective action (1).

(b) State why a favourable variance is not always good.

[2]

- It may reflect cut corners/quality or under-investment (1), or an unrealistic budget (1).